Table 12: State regressions with and without emerging markets. Specification: $y_t = a + b\,\mathbf{1}\{\text{state}\}_{t-1} + e_t$, y the portfolio's annualized monthly return, for the signal, its non-downcurve months, and its downcurve months; 1996:01–2026:02. Each cell: b (%/yr), Newey–West (12) t in parentheses, wild cluster bootstrap p on the state's episodes in brackets (B = 9,999); stars by the wild p.

	Signal		Excl. downcurve		Downcurve stay-set	
	b	(t_{NW})	b	(t_{NW})	b	(t_{NW})
Panel A: the G10 portfolio						
Carry, spot	−15.75***	(−3.02)	−17.59***	(−3.07)	+2.40	(+0.48)
	[<0.001]		[<0.001]		[0.710]	
Carry, total	−14.89***	(−2.83)	−16.68***	(−2.88)	+2.65	(+0.52)
	[0.003]		[0.003]		[0.677]	
High-beta, spot	−10.75***	(−3.94)	−12.41***	(−4.44)	+4.67	(+0.46)
	[0.001]		[<0.001]		[0.827]	
High-beta, total	−10.39***	(−3.77)	−12.13***	(−4.26)	+5.56	(+0.55)
	[0.001]		[<0.001]		[0.713]	
Panel B: the G10+EM portfolio						
Carry, spot	−12.97	(−1.75)	−14.68	(−1.86)	+3.46	(+0.46)
	[0.176]		[0.155]		[0.881]	
Carry, total	−9.18	(−1.34)	−10.28	(−1.39)	+1.65	(+0.23)
	[0.235]		[0.213]		[0.896]	
High-beta, spot	−5.10	(−0.93)	−6.15	(−1.02)	+4.17	(+1.57)
	[0.350]		[0.290]		[0.329]	
High-beta, total	−3.11	(−0.52)	−4.08	(−0.61)	+4.97	(+1.74)
	[0.659]		[0.595]		[0.392]	